Paulie's Cider Australia: License Term Sheet

Draft for discussion · Non-binding · November 2026

THE DEAL IN ONE LINE

Paulie's Cider LLC licenses the Paulie's brand and recipe for Australia. The licensee makes, funds, sells and runs everything locally, and pays a royalty on sales.

KEY TERMS

Licensor	Paulie's Cider LLC (US)
Licensee	TBD: Ventura to start (so the Dec 1 draft launch can run under its existing licence), with the right to move it to a new Paulie's Australia company owned by the local team, with Licensor consent
Territory	Australia. New Zealand: TBD
Exclusivity	Exclusive, as long as minimums are met
Term	5 years, renewable for further terms if minimums are met
Upfront fee	None
Royalty	5% of Net Sales in year 1, 7% from year 2
Net Sales	Gross invoiced sales less GST, WET/excise, returns and standard trade discounts (discount deduction capped at 15% of gross)
Minimums	Annual minimum royalty from year 2, rising each year (amounts TBD with the local team's volume plan). If a minimum is missed, Licensor may end exclusivity or the license.
Payment	Quarterly, within 30 days of quarter end, with a sales statement. Any Australian withholding tax is deducted and receipted.
Licensee covers	All production, funding, licences, compliance, labels, deposit schemes, insurance, sales, distribution, marketing, and all team and management costs. No costs are charged back to Licensor.
Brand ownership	Paulie's Cider LLC owns the trademark, recipe, brand assets and any new products or variants (e.g., Platinum, Light), wherever developed. AU trademark filed in Paulie's Cider LLC's name.
Brand standards	Licensor approves labels, packaging and major campaigns (fast turnaround, e.g., 5 business days). Product made to agreed specs; samples on request.
Reporting	Quarterly sales statement; annual audit right for Licensor
Sale / exit	Licensor receives 50% of the proceeds of any sale of the Australian business, or holds a 50% stake in any Australian company formed to run it. The license ends on any change of control unless Licensor consents. Licensor has a right of first refusal on any sale.
Termination	For missed payments, missed minimums, quality failures or insolvency, after a cure period. On termination, brand use stops, with a 90-day sell-off of remaining stock.
Assignment	Licensee can't transfer the license without Licensor consent
Governing law	TBD (NSW or California)

To agree

1. Who is the licensee at launch, and when does it move to a Paulie's Australia company?
2. Royalty: % of sales, or a fixed amount per case and keg?
3. Year 2 minimum volume the team is comfortable committing to
4. Exit: 50% of sale proceeds, or a 50% stake in the Australian company?
5. Is New Zealand in or out?

Non-binding draft for discussion. Not legal or tax advice; final terms to be documented by lawyers in Australia and the US.